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OTTA PROPERTY INSURANCE POLICY

October 2025

In consideration of the Insured named in the Schedule having paid or promised to pay the required premium, the Company named in the Schedule agrees to cover the Insured as set out in this Policy.

Level 1, 3/527A Rosebank Road, Avondale, Auckland 1026
P.O. Box 99 481, Newmarket, Auckland 1149
www.ottainsurance.co.nz

INSURING AGREEMENT

If, during the Period of Insurance, any:

Loss or Damage happens to any Insured Property at the Location;

Costs or losses arise for which this Policy is expressly extended;

then, subject to the terms, conditions and exclusions of this Policy, the Company will cover the Insured for the Loss or Damage and costs.

Subject to the "Goods and Services Tax" Condition and the "Capital Additions", "Hazardous Substance Emergencies", "Property in the Course of Construction", and "Reinstatement of Amount of Insurance" Memoranda of this Policy, the Company's liability will not exceed in total during the Period of Insurance the Total Sum Insured and if more than one item is included in the Schedule will not exceed in respect of each item the Sum Insured applicable to that item.

IMPORTANT

- This is your Policy of Insurance. Read it carefully so that you know exactly what you are covered for.
- All claims and general enquiries should be directed to Gallagher Bassett claims@ottainsurance.co.nz or 0800 858 563.

DEFINITIONS

Whenever these words appear in this Policy, they have the following meanings:

Accidental Bodily Injury: bodily injury, disability, disease, illness, shock, fright, mental anguish and mental injury.

Buildings: buildings, other structures, and their appurtenances including but not restricted to the plant, fixtures, fittings, pipes and cables pertaining to any of them and located in or on about the buildings premises. Buildings also extend to include lights, aerials, signs and lettering, in or on them, or tanks, poles, power lines and their supports, walls, gates, fences, gardens and shrubs, roads, paths, yards and the like.

Burglary: theft accompanied by violence or threat of violence to any person or violent and forcible entry to or exit from any enclosed building.

Burglary also includes theft following the forcible removal of any fixture, fitting, structure and/or item permanently affixed to or forming part of any building.

Flood: any of the following:

- the inundation of normally dry land by water overflowing from the normal confines of any natural watercourse or lake (whether or not altered or modified), reservoir, canal or dam.
- the inundation of normally dry land by water resulting from extensive rain fall.
- the inundation of normally dry land by water resulting from or action by the sea, tidal wave or high water;

but excluding any perils caused by Natural Disaster Perils or hydrothermal or geothermal activity.

Indemnity Value: the value of Insured Property at the time of Loss or Damage, sufficient to place the Insured back in the same financial position to that immediately prior to the Loss or Damage.

Insured Property: all Buildings not expressly excluded and Landlords Chattels.

Landlords Chattels: all furniture, appliances, curtains, and other property which is supplied by the Landlord as part of the rental agreement.

Loss or Damage: physical loss or physical damage unintended and unforeseen by the Insured. Lost and Damaged shall have the corresponding meaning.

Natural Disaster Perils: earthquake, subterranean fire, volcanic activity, tsunami, geothermal activity, hydrothermal activity, or fire occasioned by or through or in consequence of any of these.

Pre-1935 Building Risks:

i) a Building, or

ii) Landlords Chattels

originally constructed prior to 1935.

Region: the area of land in the applicable Region or Districts as defined in Local Government New Zealand (LGNZ) Regions and Districts boundary map(s).

Schedule: the most current Schedule (including any endorsements) issued to the Insured and any subsequent Schedule (including any endorsements) which may be issued if this insurance is renewed.

Site Deductible Amount: the percentage specified in the Schedule applied to the Total Sum Insured of Insured Property covered under this Policy at the Risk Location.

BASIS OF SETTLEMENT

The Company will pay the Insured as provided in the Policy and may at its sole option either repair, reinstate or replace lost or damaged property or any part of it, or may pay the amount of Loss or Damage.

For property specified as Buildings and Landlords Contents under the Sums Insured Schedule designated with the letter "R", the basis of settlement will be as set out in the Reinstatement Memorandum incorporated in this Policy.

For property specified as Buildings and Landlords Contents under the Sums Insured Schedule not designated with the letter "R", the basis of settlement will be the Indemnity Value of the property at the time any Loss or Damage occurs.

For glass, the basis of settlement will be the cost of replacing or repairing the broken glass, including the cost of:

- temporary shuttering and/or the hiring of a security service to protect Insured Property pending replacement of broken glass;
- replacement, ornamentation, burglar alarm tape and the like on the glass;
- replacement heat reflecting or tinting or security material or process on the glass;
- removing and re-fixing window and show case frames and fittings.

For works of art, the Company may appoint an independent and suitably qualified valuer or restorer to determine whether the work of art can be restored to its pre-damage condition.

If the valuer or restorer determines that the work of art cannot be economically restored to its pre-damage condition, the work of art will be deemed destroyed. Its pre-damage value will be determined by the valuer, or, providing the restorer is suitably qualified, by the restorer. The amount payable will be the difference between the pre-damage value and any salvage value of the damaged work of art.

If the valuer or restorer determines that the work of art can be economically restored to its pre-damage condition, the amount payable will be the cost of restoration or, if the restoration is not carried out, the restorer's reasonable estimate of the cost of restoration.

In the event of the total loss of a work of art, which is part of a set, the Company will pay the Insured the full amount of the value of the set and the Insured agrees to surrender the remaining article or articles of the set to the Company.

Providing a work of art has been satisfactorily restored following Loss or Damage, this Policy does not cover any reduction in value due solely to the fact of the work of art having been damaged and restored. The onus of proving that any restoration work is unsatisfactory rests with the Insured.

For the purpose of this Section, a 'work of art' is a creation, such as a print, sculpture or a painting, that has been made in order to be a thing of beauty in itself or a symbolic statement of meaning, rather than having a practical function.

EXCLUSIONS

1. This Policy does not cover:

(a) the Deductible specified in the Schedule;

(b) property in the course of installation, construction, demolition or erection, or testing following any of them;

(c) any above ground transmission and distribution lines, including wire, cables, poles, pylons, standards, towers, other supporting structures and equipment of any type which is related to such installations.

This Exclusion applies to all equipment other than that which is on or within 30 metres of an insured structure and which is the responsibility of the Insured.

This Exclusion applies to Loss or Damage to the equipment and all consequential loss, and/or other contingent losses related to transmission and distribution lines, other than losses following Loss or Damage not excluded in the above paragraph and/or as covered under the Loss of Utilities Memorandum.

(d) any consequential losses including penalties, loss of use of any property, delays, or loss of market, other than as provided herein.

(e) current coin, bank and currency notes, cheques, postal notes, travellers cheques, bank drafts, money orders, phone cards, unused postage and revenue stamps, franking machine credits, tickets, credit card vouchers, redeemable vouchers and tokens, and any other negotiable instruments;

(f) jewellery, precious stones, furs, precious metals or bullion

(g) motor vehicles and other mechanical or electrically propelled vehicles, and accessories contained in them or on them;

(h) watercraft and aircraft of every kind (including drones), and accessories contained in them or on them;

(i) property, in transit outside the confines of any premises, site or location owned or occupied or operated by the Insured in excess of the amount specified in the Schedule for Property In Transit;

(j) any of the following property unless specified in the Schedule:

standing timber, growing crops, pastures, trees, landscaping, livestock, dams, canals, road or railway tunnels, railway bridges, docks, piers, wharves, mining property located beneath the surface of the ground, and land;

2. This Policy does not cover Loss or Damage resulting from or directly or indirectly caused by or arising in connection with:

(a) war, invasion, act of foreign enemy, hostilities or warlike operations (whether war is declared or not), civil war, civil commotion assuming the proportions of or amounting to a popular rising, military rising, mutiny, rebellion, revolution, insurrection, military or usurped power;

(b) confiscation, requisition, or destruction of or damage to property by order of Government, Civil, Public or Local Authority unless the order is given for the purpose of preventing or controlling fire or any other event for which cover is provided by this Policy;

(c) nuclear weapons material, ionising radiations or contamination from any nuclear fuel or from any nuclear waste which results from the combustion (including self-sustaining process of nuclear fission) of nuclear fuel;

(d) the actual or threatened malicious use of pathogenic or poisonous biological or chemical materials;

(e) Natural Disaster Perils;

(f) landslip, subsidence or erosion of land;

(g) normal settlement, shrinkage or expansion of buildings, foundations, walls, pavements, roads and other structural improvements.

(h) manufacture, storage, distribution or use of any controlled drug as defined in the Misuse of Drugs Act 1975.

3. This Policy does not cover loss directly caused by:

(a) any fraudulent scheme or device or false pretence practised on the Insured or on any other person having care of the Insured Property;

(b) theft by the Insured or by any of the Insured's principals or employees

4. This Policy does not cover Loss or Damage caused by or arising from:

(a) fumes, dust, smoke, smuts;

(b) wear and tear, gradual deterioration, or corrosion;

(c) action of micro-organisms, mould, rot, vermin or insects;

(d) the inherent nature of the property (including shrinkage, evaporation, loss of weight, change of flavour or colour or texture or finish), or action of light;

(e) pollution or contamination.

(f) changes in artificially controlled temperature or atmosphere;

(g) exposure to weather conditions where the property is not normally left in the open, unless reasonable precautions have been taken to protect the property from those conditions.

(h) mysterious disappearance.

5. This Policy does not cover:

(a) explosion, rupture, bursting, cracking, leakage, collapse, of any steam boiler (other than steam boilers used for domestic purposes), economiser, pipe or other vessel due to generated or applied fluid pressure within or without, but excluding pressure caused by chemical explosion;

(b) mechanical or electrical or electronic breakdown of machinery or electrical equipment;

but this Exclusion 5(b) is limited to the machinery or electrical equipment immediately affected and does not apply to subsequent Loss or Damage to other Insured Property not otherwise excluded.

For the purpose of this Exclusion:

- "breakdown" means the actual breaking, failure, seizing, deformation or burning out of any part of the machinery or equipment due solely to internal stress or a fault in the machinery or equipment whilst in use and not by any cause or event external to the affected machinery or equipment;
- "machinery" means any contrivance for the conversion and direction of motion or energy, or for the performance of any electronic process, and includes any protective device in connection with that contrivance.

6. This Policy does not cover:

(a) the cost of repairing or replacing faulty materials;

(b) the cost of putting right faulty workmanship;

(c) the cost of putting right work performed to a faulty or defective design plan or design specification;

(d) the cost of putting right faulty or defective work where the fault or defect results from error or omission in design plan or design specification.

7. This Policy does not cover any claim, loss, damage, liability, death, injury, illness, or any other form of cover otherwise available under this Policy resulting from or directly or indirectly caused by or arising in connection with:

any act of terrorism regardless of any other cause or event contributing concurrently or in any other sequence to such loss, damage, liability, death, injury, illness, disablement, cost or expense or action taken in controlling, preventing, suppressing or in any way relating to any act of terrorism.

"Act of terrorism" means an act including but not limited to the use of force or violence and/or the threat of that, including the intention to influence any government or to put in fear the public or any section of the public which from its nature or context is done for, or in connection with, political, religious, ideological, ethnic or similar purposes or reasons by any person or group(s) of persons whether acting alone or on behalf of or in connection with any organisation(s) or government(s).

8. This Policy does not cover:

(a) Cyber

loss, damage, liability, cost or expense caused deliberately or accidentally by:

i. the use of or inability to use any application, software, or programme;

ii. any computer virus;

iii. any computer related hoax relating to i and/or ii above.

(b) Electronic Data

loss of or damage to any electronic data (for example files or images) wherever it is stored.

regardless of any other contributing cause or event whenever it may occur.

"Electronic data" means facts, concepts and information converted to a form useable for communications, display, distribution, interpretation or processing by electronic and electromechanical data processing or electronically controlled equipment and includes programmes, software and other coded instructions for such equipment.

9. This Policy does not cover Loss or Damage directly or indirectly caused by or resulting from:

(a) the gaining of access to the Insured's computer system via data communication media that terminate in the Insured's computer system;

(b) data corruption, amendment of data or erasure of data by electronic or non-electronic means; or

(c) computer virus, being an executable programme or computer code segment that is self-replicating (or requires a host programme to replicate itself), requires a host programme or executable disc segment in which it can be contained, and which destroys or alters the host programme or other computer code or data, causing undesired programme or computer system operation.

10. This policy does not cover Loss or Damage as a result of or in connection with the failure of any building or structure to contain or incorporate:

(a) materials; or
(b) a design; or
(c) a system; or
(d) a standard of workmanship;

that effectively prevents or manages the presence or penetration of moisture or water to which the building or structure might reasonably be subjected.

11. This Insurance does not cover any loss, damage, liability, cost or expense, in any way caused by or resulting from:

(a) infectious or contagious disease;

(b) any fear or threat of a) above; or

(c) any action taken to minimise or prevent the impact of a) above.

Infectious or contagious disease means any disease capable of being transmitted from an infected person, animal or species to another person, animal or species by any means.

12. This Policy does not cover any additional costs necessary solely to comply with regulations made applicable to the repair, replacement or reinstatement of Loss or Damage to Insured Property (or any portion of it) in connection with:

(a) Insured Property being an earthquake-prone Building as described in the Building Act 2004 (and any substitution of, amendment to, replacement of or statutory regulation made under this Act); or

(b) the seismic capacity of the property; or

(c) the performance of the property in an earthquake.

For the avoidance of doubt, the costs to reinstate up to the level of seismic capacity or earthquake performance which applied to Insured Property prior to the Loss or Damage are not excluded by this Exclusion.

13. No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations' resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

14. **This policy does not cover loss that is Intentionally caused by any tenant or occupant that normally resides at the property – or a guest of that tenant or occupant. However this exclusion does not apply loss as a result of fire or explosion – provided the loss was not intentionally caused by the insured.**

15. **This policy does not cover loss or damage that the Toka Tu Ake – Natural Hazards Commission considers to be imminent damage as set out in Section 24 of the Natural Hazards Insurance Act 2023.**

Provided that:

- Exclusions 2 (f), 4, 5 and 6 apply only to that part of the property immediately affected and do not apply to subsequent Loss or Damage to other Insured Property;
- Exclusions 2 (f), 4, 5 and 6 do not apply to Loss or Damage directly caused by any event not otherwise excluded.

CONDITIONS

ALTERATION OF RISK

If with the knowledge of the Insured the risk of Loss or Damage is increased by any change in the nature of the Insured's occupation or otherwise, unless notice is given to the Company of such change prior to an event giving rise to a claim the cover provided by this Policy will be forfeited as regards the affected Insured Property only.

Provided however, notice is not required to be given:

- to carry out such work and to make such changes in the use or occupancy as is usual and/or incidental to the Business of the Insured;
- to carry out any alterations and/or repairs to any Insured Property, provided structural alterations are notified to the Company within a reasonable period;
- to shut down or cease business operations or for individual Buildings to remain vacant or unoccupied, for less than 90 days.

BREACH OF WARRANTY OR CONDITION

The cover provided by this Policy will not be invalidated or prejudiced by reason of any breach of Warranty or Condition of this Policy where the breach occurs without the knowledge or consent of the Insured.

Provided that notice is given to the Company as soon as practicable once the Insured becomes aware of any such breach and the Insured agrees to pay an appropriate additional premium if required.

CANCELLATION

By the Insured:

The Insured may cancel this Policy at any time and with immediate effect, by written notice delivered to the Company. In the event of such cancellation, the Company will be entitled to a pro-rata proportion of the premium (subject to any adjustment required by the terms of this Policy) for the period the Policy has been in force.

By the Company:

The Company may cancel this Policy at any time by giving written notice to the Insured. The notice may be delivered personally or posted to the Insured's last known postal address. The cancellation will take effect at 4pm on the 30th day after the notice has been delivered or posted. In the event of such cancellation, the Company will refund to the Insured a pro-rata proportion of the premium (subject to any adjustment required by the terms of this Policy) for the unexpired period of the Policy.

CLAIMS

Upon becoming aware of any event giving rise, or likely to give rise, to a claim under this Policy, the Insured will:

take prompt steps to minimise the Loss or Damage;

take reasonable steps to protect the property from further Loss or Damage;

immediately notify the Company;

if a criminal act is suspected, inform the police;

within thirty days or as soon as practicable thereafter, submit full particulars of the claim in writing to the Company.

SEVERAL LIABILITY NOTICE. The subscribing insurers' obligations under contracts of insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing insurers are not responsible for the subscription of any co-subscribing insurer who for any reason does not satisfy all or part of its obligations.

NZ FAIR INSURANCE CODE

The Insurance Council of NZ has developed the Fair Insurance Code ("the Code"), which is a self-regulatory Code which sets out the standard of service member companies must provide to their customers. The Code aims to raise the standards of practice and service in the insurance industry.

This policy is subject to the protections afforded by the Fair Insurance Code. For further information on the Code please visit Fair Insurance Code - ICNZ.

COMPLAINTS AND DISPUTES

If you have any concerns or wish to make a complaint in relation to this policy, our services or your insurance claim, please let us know and we will attempt to resolve your concerns in accordance with our Internal Dispute Resolution procedure. Please contact Insurance Wholesale limited in the first instance:

Craig Furness
craigf@ottainsurance.co.nz

Insurance Wholesale Limited
PO Box 99 481 Newmarket
Auckland 1149

We will acknowledge receipt of your complaint within 5 business days and do our utmost to resolve the complaint to your satisfaction within 10 business days, unless we require further information in which case, we will agree an alternate time frame with you.

If we cannot resolve your complaint to your satisfaction, you can escalate the matter to Lloyd's General Representative in New Zealand:

Lloyd's General Representative in New Zealand
Email: IDRNewZealand@lloyds.com
Telephone: +64 4 472 7582
Post: PO Box 5639 Wellington New Zealand

Following receipt of your complaint, you will be advised whether your dispute will be handled by the Complaints team at Lloyd's Australia or the Lloyd's Complaints team in the UK, or what other avenues are available to you.

A final decision will be provided to you within two months of the date on which you first made the complaint unless certain exceptions apply.

If your complaint is not resolved in a manner satisfactory to you or we do not resolve your complaint within two months of originally receiving it, you may refer the matter to the Insurance and Financial Services Ombudsman (IFSO). IFSO can be contacted as follows:

Telephone: 0800 888 202 or +64 4 499 7612
Email: info@ifso.nz or via their website www.ifso.nz.
Post: PO Box 10-845 Wellington New Zealand

Your complaint must be referred to IFSO within 3 months of the final decision, unless IFSO considers special circumstances apply. If your complaint is not eligible for consideration by IFSO, you may be referred to the Financial Ombudsman Service (UK) or you can seek independent legal advice. You can also access any other external dispute resolution or other options that may be available to you.

SERVICE OF SUIT

The Underwriters accepting this Insurance agree that:

(i) if a dispute arises under this Insurance, this Insurance will be subject to New Zealand law and practice and the Underwriters will submit to the jurisdiction of any competent Court in New Zealand;

(ii) any summons notice or process to be served upon the Underwriters may be served upon:

Lloyd's General Representative in New Zealand
Level 29
Plimmer Tower
2-6 Gilmer Terrace
Wellington 6011
New Zealand

who has authority to accept service on the Underwriters' behalf;

(iii) if a suit is instituted against any of the Underwriters, all Underwriters participating in this Insurance will abide by the final decision of such Court or any competent Appellate Court.

CURRENCY

Where any Sum or Sums Insured, Special Limits, Deductibles or other amounts are stated, these amounts are in New Zealand Dollars (NZD) unless expressed otherwise.

DEFINED WORDS

This Policy and the Schedule shall be read together as one contract and words and expressions to which specific or special meanings have been given will, unless the context otherwise requires, have that same meaning whenever they may appear in the Policy.

FRAUD

If any claim is in any respect fraudulent or if any false declaration is made or used in support thereof or if any fraudulent means or devices are used by the Insured or anyone acting on behalf of the Insured to obtain any benefit under this Policy in respect of the claim, all benefit under this Policy in respect of that claim will be forfeited.

For the purpose of this Condition, if the Insured comprises more than one person or entity, each of the Insured shall be treated as having been issued with a separate Policy.

A breach of this Condition by one person or entity comprising the Insured shall not prevent any other person or entity comprising the Insured who is not a party to the fraud from claiming under this Policy.

GOODS AND SERVICE TAX

Provided that Goods and Services Tax (GST) is recoverable by the Company, the Total Sum Insured, Special Limits specified in the Schedule and the Limits specified in any Memorandum are **exclusive of GST**.

In the event of a claim, the Company will pay a maximum of the:

Total Sum Insured; or

Special Limits specified in the Schedule; or

limits specified in any Memorandum;

(whichever is applicable) plus additional GST to a maximum of the current rate of GST applied to that Total Sum Insured or Special Limits specified in the Schedule or the Limits specified in any Memorandum. However, all Deductibles specified in this Policy are **inclusive of GST**.

JURISDICTION

Any disputes arising out of or under this Policy are subject to the law of New Zealand and the New Zealand courts have sole jurisdiction.

LIMIT OF LIABILITY/MARGINS

The liability of the Company under this Policy for each Building' and 'Landlords Contents' at each situation specified in the Schedule will not exceed during the Period of Insurance 110% of the Sum Insured specified for that Building.

Provided however:

the Company's liability will not exceed the combined total Sum Insured for all Buildings and Landlords Contents at each situation specified in the Schedule; and

the increased liability of the Company does not apply to the Natural Disaster Damage Memorandum and Natural Disaster Damage – Residential Property Memorandum.

MISDESCRIPTION

This Policy will not be invalidated or prejudiced by:

any innocent or inadvertent alteration or misdescription of property or occupancy or any other inaccuracy which does not affect the Total Sum Insured specified in the Schedule;

any act of the occupier whereby the risk of Loss or Damage to property is increased without the authority or knowledge of the Insured;

any innocent or inadvertent misrepresentation of any material fact;

provided that notice is given to the Company as soon as practicable once the Insured becomes aware of any of the above and the Insured agrees to pay an appropriate additional premium and or agree to a change in terms and conditions if required.

MUTUALLY ACCEPTABLE ADJUSTERS

Where the Company wishes to appoint any loss adjuster, assessor, surveyor, valuer or investigator in respect of any claim under this Policy, the appointee must be mutually acceptable to the Company and the Insured.

OBSERVANCE OF TERMS AND CONDITIONS

The due observance and fulfilment of the terms, provisions, conditions and endorsements of this Policy in so far as they relate to anything to be done or complied with by the Insured, and the truth of statements and answers in the written submission or proposal or supporting documents, or in any claim form, or in any statement in support of a claim, whether made by the Insured or by others on behalf of the Insured, will be conditions precedent to the Company's liability to make any payment under this Policy.

OTHER INSURANCE

If at the time of any claim arising under this Policy there is any other valid and collectable insurance covering the Loss or Damage, this Policy will only apply in excess of the amount payable under the other insurance, even if there is a similar Other Insurance Condition in the other insurance policy.

For the purpose of applying the Deductible applicable to this Policy, the amount of any other such insurance will not be taken into account, as the other insurance is permitted on Loss or Damage within the Deductible amount.

OTHER INTERESTED PARTIES

Where the Insured is under an obligation to insure the interest of any person or entity (including contractors and sub- contractors to the extent required by any contract) with an insurable interest in any of the Insured Property, the Company will note their interest. However the Company's liability will not be increased beyond the amount that would be payable if this Condition had not been incorporated in the Policy.

PRIORITY OF CLAUSES

In the event that any person or entity is entitled to cover by virtue of more than one of the several clauses or Memoranda of this Policy, the Company will cover that person or entity in terms of the clause or Memoranda most favourable to them.

REASONABLE CARE

The Insured will take all reasonable steps to keep all Insured Property safe and secure and maintain fire protection equipment and security alarms, systems, locks and protection in good working order.

SALVAGE

Where there is Loss or damage to Insured Property covered by this Policy, the Company may:

enter any building where the Loss or Damage has occurred and take and keep possession of the damaged property;

deal with the salvage in any reasonable manner; provided that the Insured is not entitled to abandon any property to the Company;

SUBROGATION

Where, upon accepting liability for a claim under this Policy, the Company is entitled to become subrogated to the Insured's right of recovery or claim they may have against any other person or entity, the Insured must, at the Company's expense, do and concur in doing and permit to be done anything reasonably required by the Company for the purpose of enforcing that right.

The Insured must comply with this Condition when required, whether before or after having a claim paid by the Company for the Loss or Damage.

The Company will not exercise subrogation against any person or entity covered under this Policy, nor against any employee unless the employee has caused the Loss or Damage wilfully.

THE CONTRACT

This Policy is a contract consisting of the following parts:

the written submission and/or completed proposal and/or other supporting documents supplied by the Insured;

and

this Policy wording; and

the Schedule (including any endorsements).

This Policy, and any Schedule or endorsements will be read together as one contract.

MEMORANDA

In the event of any conflict or inconsistency between the Policy and the Memoranda, the terms of the Memoranda will prevail. In the event of any conflict or inconsistency between Memoranda, the Memorandum most favourable to the Insured will prevail.

ALTERNATIVE RESIDENTIAL ACCOMMODATION

Where any Owner Occupied residential property covered by this Policy is rendered uninhabitable by Loss or Damage covered by this Policy, this Policy extends to cover reasonable expenses for alternative accommodation (including the cost of boarding out domestic cats and/or dogs which normally reside there) necessarily incurred by the Insured or by the occupant, provided that:

- these expenses are not otherwise covered;
- the period for which the expenses are covered will be limited to the period reasonably required for reinstatement of the affected property;
- the Company will be entitled to deduct a reasonable allowance for expenses reduced or avoided in consequence of the affected accommodation being rendered uninhabitable.

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Alternative Residential Accommodation. The limit applies separately to each unit of residential accommodation and does not apply to any Loss or Damage that would be recoverable under this Policy without the benefit of this Memorandum.

The Special Limit to which this Memorandum refers is deemed to be included in the Total Sum Insured specified in the Schedule.

ANYWHERE IN NEW ZEALAND – LANDLORDS CHATTELS

Notwithstanding Exclusion 1 (i) or the Location specified in the Schedule, this Policy extends to cover Landlords Contents whilst anywhere in New Zealand.

For the purposes of this Memorandum:

cover excludes any portable electronic equipment and portable tools of trade;

the liability of the Company, in respect of any one Loss or Damage, is limited to the amount specified in the Schedule for Anywhere in New Zealand – Landlords Chattels.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

CHANGE OF TEMPERATURE

Notwithstanding Exclusion 4 (f), this Policy extends to cover Loss or Damage caused by of any change in temperature provided the Loss or Damage is not otherwise excluded.

Reasonable costs incurred by the Insured in the removal and/or storage of such property at another building and/or premises are also covered.

The extension of cover provided under this Memorandum does not include any change in temperature caused by mechanical or electrical or electronic breakdown of machinery or electrical equipment covered under the Machinery Breakdown Optional Memorandum.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

CLAIMS PREPARATION COSTS

The Company will cover the Insured, free of any Deductible, for all costs and expenses reasonably incurred for the purpose of assessing, preparing, presenting or certifying any claim made under this Policy, provided the claim is accepted under this Policy. However, the Company will not pay for any costs relating to consultations on coverage, negotiation of claims or claims advocacy.

Salaries, wages, overheads and other expense of the Insured's employees and consultants will be deemed to be part of such costs and expenses.

Provided, cover for all costs and expenses under this Memorandum will only apply where the Insured is unable to recover such costs and expenses under a separate Business Interruption Policy.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

CONSTRUCTIVE LOSS

In the event of Loss or Damage to Insured Property comprising any Building covered for Reinstatement and where the cost of reinstating the Loss or Damage to that Building is 60% or more of its reinstatement value then that Building will be treated as having been destroyed where the following conditions exist:

the reinstatement of the Building is prevented by sole reason of any Law; or

in any other instance where in agreement between the Insured and the Company it is the most practical and/or economic method of settlement.

For the purpose of this Memorandum, 'Law' means any regulation made under or framed in pursuance of any Act of Parliament or regulation or by-law of any Local Authority.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

CONTRACTUAL VALUE

Notwithstanding the Basis of Settlement Clause, this Policy is extended to cover Insured Property that is the subject of a lease, rental, hire or similar agreement whereby the Insured is required to provide cover for the property on an agreed value basis, then the cover provided by this Memorandum for such property shall be the agreed value as specified in the lease, rental or hire agreement.

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Contractual Value.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

DAMAGE BY ELECTRIC CURRENT

Notwithstanding Exclusion 5 (b), this Policy extends to cover Loss or Damage to Insured Property caused by the actual burning out of part or parts of the property due to the failure of electrical insulation, or abnormal or artificially generated electric current, or electrically induced self-heating. The Company will not be liable under this Extension for:

loss of use;

Loss or Damage to lighting or heating elements, fuses or protective devices, or electrical contacts at which sparking or arcing occurs in ordinary working;

electric motors and starters which individually exceed 7.5kw or 10hp.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

DEMOLITION, REMOVAL OF DEBRIS AND OTHER COSTS

This Policy extends to cover costs necessarily incurred for any of the following purposes in consequence of Loss or Damage covered by this Policy:

demolition, dismantling, shoring up or propping up of the Insured Property;

cleaning up, removal and disposal of debris, including any kind of solid, liquid or gaseous matter, and the clearing, cleaning and repairing of gutters, drains and the like from the site of the Insured Property damaged and the area immediately adjacent to such site;

recovery, removal, storage and return of Landlords Chattels, whether damaged or undamaged;

temporary repairs and other measures (including the erection and maintenance of street and/or pavement hoardings and/or scaffolding) to secure the property or to make it safe or suitable for continued use.

The cover provided by this Memorandum does not include any amounts legally liable to pay by way of compensation or other damages resulting from pollution or contamination of property by any of the debris.

The costs of Demolition, Removal of Debris and Other Costs are deemed to be included in the Total Sum Insured specified in the Schedule.

DISCLAIMERS AND RELEASE OF LIABILITY

Notwithstanding the Subrogation Condition of this Policy, where the Insured is required by legislation or by contractual agreement to release:

- the Crown;
- any Government Corporation, Authority or quasi Government organisation;
- any Municipal or Local Authority;
- any State Owned Enterprise;
- the Fire and Emergency NZ;
- any division of the New Zealand Railways Corporation;
- any Oil Company;
- any Fire Protection Installation, Service or Equipment Supply Company;
- any Lift Installation or Maintenance Engineer/Company;
- any party storing goods for, or leasing property to, the Insured; or
- any other party to an agreement which has been declared to and accepted by the Company;

from liability (including the waiver of the Insured's rights of subrogation) arising from Loss or Damage covered by this Policy, the release is allowed without prejudice to this insurance.

ELECTRONIC PROGRAMMES — we'll cover resetting electronic equipment at the premises

If electronic equipment installed in the Building suffers Loss or Damage that this policy covers, the Company will pay the reasonable cost of resetting, restoring or reprogramming software necessary to use that equipment.

This benefit doesn't cover the loss of any data stored on the equipment.

Any amount paid under this benefit will reduce the *sum insured*.

EXPEDITING COSTS

Where a claim is payable under this Policy for the cost of reinstating any Insured Property, the Company will also cover the Insured for such additional costs of express freight, air freight, overtime labour, penalty labour and additional labour as are reasonably incurred for the purpose of expediting that reinstatement.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule.

GRADUAL DAMAGE

Notwithstanding Exclusion 4 (b), this Policy extends to cover Loss or Damage to Insured Property due to gradual deterioration/damage, mildew, mould or rot caused by water which accidentally leaks, overflows or is discharged from any internal water system installed at the Location. Such Loss or Damage is covered provided that action is taken to minimise the Loss or Damage and to prevent any further Loss or Damage as soon as the loss is discovered.

For the purpose of this Memorandum an internal water system is: any water pipe, waste disposal pipe, water cylinder, water storage tank, toilet, bidet, shower or bath which is permanently connected and contained within the walls, floors or roof of the structure and any pipe which is hidden from view that is connected to an appliance, such as a washing machine or dishwasher.

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Gradual Damage.

HAZARDOUS SUBSTANCE EMERGENCIES

The Company will cover the Insured for any charge that the New Zealand Fire Service, any Local Body or Authority, or any entity is authorised to make against the Insured in respect of any Hazardous Substance Emergency arising out of or in connection with any Insured Property during the period of insurance, whether or not there is any damage to the Insured Property.

"Hazardous Substance Emergency" has the same meaning as defined in the Fire Service Act 1975 or any statutory amendment to or re-enactment of that Act.

The liability of the Company, in respect of any one event, is limited to the amount specified in the Schedule for Hazardous Substance Emergencies.

INTENTIONAL DAMAGE

But for exclusion 14, the policy is extended to include damage caused by Intentional damage up to the Sum Insured specified in the schedule – for any one loss, provided the Insured or person who manages the occupancy on behalf of the Insured has:

completed an external and internal inspection of the property at a minimum of six monthly intervals and upon the change of every tenancy; and

kept a written record of the outcome of each inspection, and provide a copy to the Company if a copy is requested.

LANDSCAPING

Notwithstanding Exclusion 1 (j), this Policy extends to cover the costs reasonably incurred by the Insured in the repair, replacement or reinstatement of any:

Landscaping; or

Ornamental Trees;

following Loss or Damage covered by this Policy.

The liability of the Company, in respect of any one event, is limited to the amount specified in the Schedule for Landscaping.

LANDSLIP

Notwithstanding Exclusion 2 (e), this Policy extends to cover Loss or Damage to Insured Property directly or indirectly arising from:

• sudden and unforeseen landslip that is neither gradual nor progressive; and/or

• the movement (whether by way of falling, sliding or flowing) of land.

The cover under this Memorandum is extended to include the removal of land which has moved or slipped, but only in relation to the area of the building line and immediately adjacent areas up to a maximum of 5 meters from the external walls of the building. The liability of the Company for the removal of land is limited to $10,000.

The Company will not be liable under this Memorandum for:

Loss or Damage caused by:

- subsidence;
- the expansion, shrinkage, compaction or erosion of soil.

For the purpose of this Memorandum the words "and land" are deleted from Exclusion 1 (j).

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Landslip.

LOST OR STOLEN KEYS

Where any key (including electronic keys and swipe cards or any equivalent device) or combination giving access to Insured Property is lost, stolen or believed on reasonable grounds to have been stolen or duplicated without proper authority, this Policy extends to cover the reasonable costs necessarily incurred in altering or replacing locks and replacing their keys.

This Policy also extends to cover the reasonable cost of opening any safe or strongroom following loss or theft of its key or access card or combination.

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Lost or Stolen Keys.

NATURAL DISASTER DAMAGE – RESIDENTIAL PROPERTY

Notwithstanding Exclusions 2 (d) and 2 (e), where this Policy extends to cover Loss or Damage to any:

- Residential Building that is also covered by section 29 of the Natural Hazards Insurance Act 2023 (NHI); caused by Natural Disaster Perils;

the following applies to the Residential Building:

(a) The cover under this Policy for Loss or Damage caused by Natural Disaster Perils is in excess of the cover provided under NHI Cover.

(b) This Policy pays in excess of NHI Cover if the Loss or Damage caused by Natural Disaster Perils is covered by NHI Cover, or would have been but for:

  (i) the application of the excess under NHI Cover; or

  (ii) a failure to correctly notify the Toka Tu Ake – Natural Hazards Commission (NHC) of the Loss or Damage within the time frame required by the NHI; or

  (iii) a decision by the NHC to decline the claim for that Loss or Damage in whole or in part and for any reason whatsoever.

(c) Where the amount of the claim under this Policy exceeds the cover under the NHI Cover (or would have but for (b) (i), or (ii) or (iii) above), this Policy pays up to the difference between what NHI Cover pays (or would have paid) and the applicable Sum Insured under this Policy, less any excess under NHI Cover.

Where a Natural Disaster Damage Deductible applies, the Deductible will be offset by the amount actually paid by the NHC to the Insured for the same Loss or Damage to that part of the Insured Property from the same event.

In all cases, the minimum Site Deductible Amount is $2,500 or any different amount specified in the Schedule.

For the purpose of this Memorandum:

- "NHI Cover" means the cover provided under sections 29 of the Natural Hazards Insurance Act 2023;
- "Residential Building" has the same meaning given to it in the Natural Hazards Insurance Act 2023.

POWER GENERATION EQUIPMENT — we'll cover wind- or fuel-powered generation equipment

The Company will pay up to $20,000 during the period of insurance for Loss or Damage to power generation equipment if it results from any of the following.

- Fire, explosion, or lightning.
- Impact by a vehicle or animal.
- Impact from aircraft or other aerial or spatial device (such as a drone or satellite), or articles dropped from them.
- *Natural disaster.*

This benefit applies if all the following apply:

- The Insured owns the power generation equipment.
- It's on land you own, and the Building is on that same land.
- It provides power to the Building.

How we define power generation equipment

Power generation equipment is any wind- or fuel-powered equipment for generating electricity. It includes any support structure, generator, power storage and associated wiring, switching and distribution equipment. Solar panels are not covered under this benefit — they're included in the cover as part of the Building. Any amount the Company pays under this benefit will reduce the sum insured.

PROFESSIONAL FEES

This Policy extends to cover architects', surveyors', consulting engineers', clerk of works', legal, accounting and other fees, salaries and costs reasonably incurred in reinstating damage to Insured Property covered by this Policy. The fees, salaries and costs are included in the Total Sum Insured specified in the Schedule.

This Memorandum does not apply to fees for preparing claims made under this Policy.

PROGRESS CLAIM PAYMENTS

The Insured will be entitled to progress claim payments from the Company, provided that:

- a claim is accepted under this Policy;
- acceptable evidence of Loss or Damage covered by this Policy is produced;
- where required, an interim statement of loss is supplied by the Insured and approved by the Company's assessor/surveyor;
- if the aggregate of progress payments exceeds the total amount of the adjusted loss, the Insured will immediately refund the difference between the amount of adjusted loss and the aggregate of payments actually made.

PROTECTION COSTS

This Policy extends to cover the Insured for any costs or damage Directly resulting from, or reasonably incurred by or imposed on the Insured for the purpose of protecting against or fighting any fire or other event covered that either involves or threatens to involve Insured Property.

RECOVERY APPORTIONMENT

If the Company, having exercised its right of subrogation, recovers any part or all of a loss in respect of which a claim has been paid or is payable under this Policy, the amount so recovered will be apportioned as follows:

the Insured will be fully reimbursed for any portion of the loss not covered by this Policy, including that portion of the loss which is not covered by reason of a Deductible; with

any remaining balance belonging to the Company.

The Company will pay the costs of all recovery proceedings.

Notwithstanding anything to the contrary in the Deductible Clause of this Policy, no account will be taken of subrogated recoveries in determining the amount of adjusted loss to which the Deductible applies.

REDUCTION OF AMOUNT OF INSURANCE FOR UNREPAIRED ITEMS

Where there is any existing Loss or Damage to Insured Property that occurred prior to the current Period of Insurance that has not been repaired, replaced or reinstated at the commencement of the current Period of Insurance, the Company will deduct such Loss or Damage from the respective Sum Insured for that item of Insured Property at the commencement of the current Period of Insurance.

REDUNDANT FOUNDATIONS

Notwithstanding "Special Provision 1 (b) of the Reinstatement Memorandum" or anything in this Policy to the contrary, where any undamaged or partly damaged building or plant foundations are unsuitable for further use and/or are rendered redundant for any reason whatsoever (including due to the action or regulations of any Municipal or Government or Local Authority or similar Body or due to the operation of any Health or similar regulation) in consequence of Loss or Damage covered by this Policy to the superstructures or plant resting on them, the affected foundations will be deemed to be and treated as constructively totally lost for the purpose of claims under this Policy and any of its Memoranda.

If it is not necessary to demolish the foundations in order to effect reinstatement of damaged property, and if the presence of the abandoned foundations increases the market value of the property to which they are fixed, the amount of increase will be treated as salvage and will be deducted from the amount of claim payable by the Company.

REINSTATEMENT OF AMOUNT OF INSURANCE

In the event of any claim under this Policy, and in the absence of written notice by the Company or the Insured to the contrary, the amount of insurance reduced by such claim will be automatically reinstated from the date the Insured Property is repaired, replaced or reinstated.

The Insured agrees to pay such pro-rata premium at the rate applicable to the item(s) concerned as may be required by the Company for the reinstatement.

However, if the Loss or Damage is caused by Natural Disaster Perils, the amount of insurance reduced by such claim will not be reinstated unless agreed in writing to by the Company.

REINSTATEMENT OF AMOUNT OF INSURANCE ONCE REPAIRED

If an Item of Insured Property referred to in the Reduction of Amount of Insurance for Unrepaired Items Memorandum:

- is covered under this Policy during the repair, replacement or reinstatement of it, the amount of insurance reduced by that Memorandum is progressively added back to the Sum Insured for that Item at the rate it is progressively repaired, replaced or reinstated during the Period of Insurance; or
- is not covered under this Policy during the repair, replacement or reinstatement of it, the amount of insurance reduced by that Memorandum is only added back to the Sum Insured once the repair, replacement or reinstatement of that Insured Property has been completed during the Period of Insurance.

Provided however, if the Loss or Damage is caused by Natural Disaster Perils, the amount of insurance cancelled by that Loss or Damage will not be reinstated unless agreed to by the Company.

REPAIR OR REINSTATEMENT BY THE INSURED

The Company will allow the Insured to undertake any repair, reinstatement or replacement work in relation to Loss or Damage covered by this Policy and due allowance shall be made for a reasonable margin of profit, provided the Insured has the required qualifications and capability to undertake such work and their charges and/or costs are competitive.

REPAIRS AND MAINTENANCE

The carrying out of any alterations and/or repairs to and/or maintenance on any Insured Property will not prejudice the cover provided by this Policy.

REWARDS

This Policy extends to cover the cost of any reward paid by the Insured for the purpose of protecting or recovering any of the Insured Property that has suffered Loss or Damage covered by this Policy, provided the terms of such reward are agreed to by the Company prior to it being offered.

The Company will not unreasonably refuse its agreement to the terms of a reward payable under this Memorandum.

SALE OF INSURED PROPERTY

This Policy extends to cover Loss or Damage to any Insured Property covered by this Policy which is for sale and where an agreement to sell has not been fully completed, provided the said Insured Property is not otherwise fully insured by or on behalf of the purchaser against such Loss or Damage.

SUBSIDENCE

Notwithstanding Exclusion 2 (e), this Policy extends to cover Loss or Damage to Insured Property directly or indirectly arising from:

- unforeseen subsidence of land that you are unaware of prior to the Loss or Damage; and/or
- the movement (whether by way of sinking, collapsing, sliding or flowing) of land.

The cover under this Memorandum is extended to include the removal of land which has moved or slipped, but only in relation to the area of the building line and immediately adjacent areas up to a maximum of 5 meters from the external walls of the building. The liability of the Company for the removal of land is limited to $10,000.

The Company will not be liable under this Memorandum for:

Loss or Damage caused by:

- landslip;
- compaction or erosion of soil;
- movement as a result of the water-table drying out from atmospheric or climatic conditions;

- normal settlement, normal shrinkage or normal expansion of any building or its foundations;

any loss or decrease in the value of the land or site.

For the purpose of this Memorandum the words "and land" are deleted from Exclusion 1 (j).

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Subsidence.

SUSTAINABLE REBUILDING COSTS

This Policy extends to cover additional reasonable costs incurred to upgrade Building(s) with Sustainable Products, provided that:

the Building(s) is destroyed (as defined in the Reinstatement Memorandum); and

Reinstatement Memorandum applies to the Building(s); and

the Building(s) are reinstated; and

the Company approves the Sustainable Products, approval of which will not be unreasonably withheld.

The liability of the Company for such costs, in respect of any one loss, is limited to the amount specified in the Schedule for Sustainable Products.

The cover provided by this Memorandum will not increase the liability of the Company beyond the Total Sum Insured specified in the Schedule for each item of Insured Property.

For the purpose of this Memorandum 'Sustainable Products' means:

products that increase the efficiency of the Building relating to the use of energy and/or water; and

rebuilding materials that reduce environmental impacts.

TEMPORARY REMOVAL

Notwithstanding Exclusion 1 (i), this Policy extends to cover any Insured Property whilst temporarily removed within New Zealand and whilst in transit to and from that place.

The Company's liability will not exceed the amount for which the Company would be liable had the Loss or Damage occurred at the particular place from which the property is temporarily removed.

In this Memorandum, "temporary removal" means removed for a particular purpose or reason, with the intention that the property be returned to the place from which it has been removed once that purpose or reason has been served.

UNOCCUPIED BUILDINGS

If the Building is unoccupied the excess increases to $5,000

Unoccupied is defined as:

No authorised person has slept overnight in the Building within the last 30 days.

1. The Insured or his representatives must visit the premises for internal and external inspection purposes at least once every 14 days and a record of all such inspections to be kept and any defects revealed by such inspections remedied as soon as reasonably practicable.
2. Buildings must be maintained in a good condition, good state of repair and be structurally sound.
3. All loose material to be kept clear of the premises.
4. All final exit doors must be secured with a Minimum of a mortice deadlock and all accessible windows must be secured with key operated locks or be screwed shut.
5. Should the Buildings be undergoing structural refurbishment or have a commercial element, then all doors and windows must be sealed against illegal entry with shutters or are boarded up.

UNDAMAGED/UNHARMED PROPERTY

Notwithstanding "Special Provision 1 (b) of the Reinstatement Memorandum" or anything in this Policy to the contrary, this Policy extends to cover the following costs, which are included in the Total Sum Insured specified in the Schedule:

- Costs actually incurred in the demolition, damage/destruction, removal and subsequent repair and reinstatement of otherwise undamaged/unharmed property (including additional costs necessary to comply with any Act of Parliament or any regulations made under or in pursuance of any such Act or with any By-Laws of any Local Authority in force at the time of loss) necessary to enable reinstatement of any Insured Property following its Loss or Damage covered by this Policy.

UNLAWFUL SUBSTANCES

Notwithstanding Exclusions 2 (g) and 4 (e), this Policy extends to insure Loss or Damage to any Building and or All Other Property within the Building specified in the Schedule, in connection with the manufacture, storage, distribution or use of any controlled drug as defined in the Misuse of Drugs Act 1975, provided that:

- the Building is tenanted; and
- the Insured or person who manages the tenancy on behalf of the Insured has:
    - completed an external and internal inspection of the property at a minimum of six monthly intervals and upon the change of every tenancy; and
    - kept a written record of the outcome of each inspection, and provide a copy to the Company if a copy is requested.

The indemnity provided by this Memorandum will only apply when the level of chemical contamination exceeds the guidelines for acceptable indoor surface residues issued by the New Zealand Ministry of Health in its Guidelines for the Remediation of Clandestine Methamphetamine Laboratory Sites, or the applicable New Zealand Standard, at the time the claim is notified to the Company.

This Memorandum will only insure decontamination to the extent required to achieve acceptable post remediation re-occupancy levels for indoor surfaces residues contained in the Guidelines or Standard.

This Memorandum does not apply to any loss for which indemnity would otherwise be payable under this Policy in the absence of this Memorandum.

The liability of the Company, in respect of any one individual unit per event, and in the aggregate during the Period of Insurance, is limited to the amounts specified in the Schedule for Unlawful Substances.

If the Company pays for Loss or Damage to any Building under this memorandum then the Company reserves the right to increase the deductible during the period of insurance.

WAIVER OF RECOVERY RIGHTS

This Policy will not be invalidated or prejudiced by reason of the Insured having waived any right of recovery or claim they may have against any other party to a contract or agreement with the Insured in the ordinary course of business, but only where:

- the contract or agreement is not for the supply of goods or services by the Insured; and
- the waiver was made in writing before the loss occurred.

WAIVER OF RECOVERY RIGHTS (GROUP COMPANIES)

Where the Insured is a company forming part of a group, this Policy will not be invalidated or prejudiced if the Insured waives any right of recovery or claim they may have against any other associated or affiliated company named in the Schedule or any other related company. For the purpose of this Memorandum "related company" has the meaning set out in the Companies Act.

WATER OR SEWAGE PIPE BLOCKAGE — we'll cover clearing blockages to underground water and sewage pipes

The Company will pay the reasonable cost of clearing an *accidental* blockage in an underground water or sewage pipe if all the following apply:

- The blockage wasn't caused by the roots of any tree or plant.
- The blockage happened during the period of insurance.
- The blocked pipe is within 20 metres of the Building.

If clearing the blockage damages part of a driveway, patio, path, paving, tennis court, or other permanent structure that forms part of the Building, then the Company will cover the cost of repairing or rebuilding the damaged part.

The maximum the Company will pay under this benefit is up to $1,500 during any one period of insurance.

Any amount paid under this benefit will reduce the sum insured.

OPTIONAL MEMORANDA

The following Optional Memoranda will apply only when specified in the Schedule.

BOILER EXPLOSION

Notwithstanding Exclusion 5 (a), this Policy extends to cover explosion, rupture, bursting, cracking, leakage or collapse of any steam boiler, economiser, pipe or any other vessel being Insured Property due to generated or applied fluid pressure within or without.

The Company will not be liable under this Memorandum for:

- Loss or Damage caused by rust, corrosion, boiler scale or oxidation of any kind;
- the cost of carrying out alterations, additions, improvements, overhauls or maintenance.

The liability of the Company, in respect of any one loss, is limited to the amount specified in the Schedule for Boiler Explosion.

CAPITAL ADDITIONS

This Policy extends to cover:

any Buildings or Landlords Contentss acquired by the Insured or which otherwise becomes the responsibility of the Insured;

alterations, additions and improvements to Buildings or Landlords Chattels;

at any location in New Zealand, provided that:

- the Insured will give particulars to the Company as soon as reasonably possible thereafter, but no later than 30 days of the last day of each Period of Insurance during which any extension of cover becomes operative. Following notification of the particulars, the Insured will pay the appropriate additional premium on the property, retrospective to the date on which the cover became operative;
- the provisions of this Memorandum will be fully reinstated following notification of particulars in accordance with the above paragraph;
- cover under this Memorandum will be deemed to have become operative upon the date on which the risk in or responsibility for the property to which this Memorandum applies passes to the Insured;
- this Memorandum will not apply to any appreciation in value of the Insured Property which is not consequent upon any acquisition, alteration, addition or improvement covered by this Memorandum;
- if any Reinstatement Memorandum is incorporated in this Policy, and in the absence of written notice by the Company or the Insured to the contrary, the insurance on property covered by this Memorandum will be subject to that Reinstatement Memorandum.

The liability of the Company, at any one time under this Memorandum, will not exceed the amount specified in the Schedule for Capital Additions.

NATURAL DISASTER DAMAGE

Notwithstanding Exclusion 2 (d), this Policy extends to cover Loss or Damage to Insured Property caused by and arising from:

- Natural Disaster Perils; or
- measures taken under proper authority, following any event covered by this Memorandum to:
  - avoid its spreading; or
  - reduce its consequences;

provided

- this cover only applies for items of Insured Property selected and specified in the Schedule for Natural Disaster Damage; and

- the cover under this Memorandum applies only in excess of any cover provided under the Earthquake Commission Act 1993 for the same Insured Property; and
- the amount payable for any Loss or Damage to Insured Property under this Memorandum will be reduced by any amount payable under the Earthquake Commission Act 1993 (including any excess payable thereunder); and
- the liability of the Company will not exceed the Sum Insured specified in the Schedule for such Insured Property.

The Natural Disaster Damage Deductible payable for any Loss or Damage to Insured Property will be reduced by any amount payable under the Earthquake Commission Act 1993 for the same event and the same Insured Property.

PROPERTY IN THE COURSE OF CONSTRUCTION

Notwithstanding Exclusion 1(b), this Policy extends to cover Loss or Damage to any Insured Property covered by this Policy which is undergoing:

(i) Demolition; or

(ii) installation, construction or erection; or

(iii) testing following any of (i) or (ii) above.

Provided that:

(a) the property is owned, will be owned, or will be occupied by the Insured; and

(b) the expected value or contract price does not exceed the amount specified in the Schedule for Property in the Course of Construction.

REINSTATEMENT

This Memorandum applies to those items of Insured Property that are shown in the Schedule to be covered for Reinstatement.

In the event of any Insured Property to which this Memorandum applies being lost, damaged or Destroyed, the basis on which the amount payable under this Policy is to be calculated will be the cost of Reinstatement of the property, subject to the special provisions of this Memorandum.

Definitions:

In this Memorandum, and unless the context otherwise requires:

(a) "**Reinstatement**" means:

(i) where property is lost or Destroyed, its replacement by Equivalent Property;

(ii) where property is damaged but not Destroyed, the repair of the damage and the restoration of the damaged portion of the property to a condition substantially the same as, but not better or more extensive than, its condition when new, using modern equivalent materials, skills and techniques that are readily available and which, if the property is a building, are readily available in the country the damaged property is located and, incorporating such alterations as are necessary to comply with any Act of Parliament or Regulation that are in force on the date the Loss or Damage occurs, but subject to any limitations or Exclusions to such Act of Parliament or Regulation under this Policy;

(b) "**Equivalent Property**" means:

(i) new property which is as nearly as is practicable the same as the property lost or Destroyed, using modern equivalent materials, skills and techniques that are readily available in the country the damaged property is located and, incorporating such alterations as are necessary to comply with any Act of Parliament or Regulation that are in force on the date the Loss or Damage occurs, but subject to any limitations or Exclusions to such Act of Parliament or Regulation under this Policy;

(ii) where, no property which falls within the scope of paragraph (b) (i) above can be constructed; property which is designed to perform a purpose or function which is the same as or equivalent to (but not more extensive than) that performed by the property lost or Destroyed;

(iii) where, no property which falls within the scope of paragraph (b) (i) above is suitable to the requirements of the Insured, then property which is designed to perform a purpose or function suitable to the requirements of the Insured (including a change in the nature and use of the property), but not more extensive than the property lost or Destroyed.

(c) "**Destroyed**" means so damaged by a contingency covered by this Policy that the property cannot, by reason only of the extent of that damage, be repaired. For the avoidance of doubt, no Insured Property damaged will be considered destroyed for the purpose of this Memorandum by reason only of any cost in reinstatement to comply with any Act of Parliament or Regulation.

(d) "**Site**" means any parcel of land.

(e) "**Regulation(s)**" means building or other regulations made under or framed in pursuance of any Act of Parliament or regulation or by-law or rule or order or directive or condition of consent of any Municipal or Local or similar Authority or Body.

(f) "**Undamaged**" means not damaged physically and directly by a contingency covered by this Policy.

Special Provisions

1. The amount payable under this Memorandum will include the cost incurred in Reinstatement which is necessary to comply with any Act of Parliament or Regulation that are in force on the date the Loss or Damage occurs, provided that the amount payable will not include the cost incurred in work necessary to comply with any Act, Regulations or By-Laws:

   (a) to the extent to which such work had already been required of the Insured by notice served prior to the happening of the Loss or Damage or Destruction; or

   (b) in respect of Undamaged property or Undamaged portions of property other than foundations (unless foundations are expressly excluded from cover under this Policy) whether or not the undamaged Insured Property or portion comprises a separate Building or a separate item of All Other property; or

   (c) to the extent to which such work is required, whether in whole or in part, because damaged (but not Destroyed) property (or any portion of it):

      (i) is an earthquake-prone building as described in the Building Act 2004 (and any substitution of, or amendment to, replacement of or statutory regulation made under this Act); or

      (ii) does not comply with any Act of Parliament or Regulation applicable at the time of reinstatement in connection with:

         (a) the seismic capacity of the property; or

         (b) the performance of the property in an earthquake;

   whether or not the work is also required in order to comply with any other Act of Parliament or Regulation.

2. Where property is lost or Destroyed, the work of Reinstatement shall be carried out on the original location at the same Site unless:

   (a) Reinstatement on the original location at the same Site is not permissible by reason of any Act, Regulations or By-Laws; or

   (b) Reinstatement on the original location at the same Site is not suitable to the Insured's requirements;

   in which case, the Reinstatement may be carried out on another location on the same Site or on any other Site or Sites. That alternative site or sites must be located in the same country as the same site or sites.

3. Where the work of Reinstatement is carried out in the terms of Definition (b) (ii) or (b) (iii), or on another location on the same Site or on any other Site or Sites, the liability of the Company in respect of the cost of Reinstatement will not exceed the cost that would have been incurred had Reinstatement been carried out in the terms of Definition (b) (i) and on the original location at the same Site.

4. Where any property covered under this Memorandum is damaged but not Destroyed, the Company's liability shall not exceed the amount the Company could have been called upon to pay for Reinstatement if such property had been Destroyed.

5. In any of the following circumstances, no payment will be made beyond the amount which would have been payable had this Memorandum not applied to the Insured Property:

   (a) if the Insured elects not to Reinstate the property;

   (b) if the work of Reinstatement is not commenced and carried out with reasonable despatch;

   (c) until the cost of Reinstatement has actually been incurred, or agreed between the Company and the Insured.

6. Where required by the Company, the Insured shall, at the commencement of such insurance and/or when required, provide the Company with a certificate from a Valuer approved by the Company specifying the estimated cost of Reinstatement of any Insured Property to which this Memorandum applies. This certificate must also contain such other estimates or information as may be required by the Company.

7. The liability of the Company under this Memorandum will not include the amount of any rate, tax, duty, development charge, or any other charge or assessment arising out of capital appreciation, that may be payable in respect of the property by reason of compliance with any Act of Parliament or Regulation.

COVER FOR YOUR LEGAL LIABILITY

The Company will cover the Insured for legal liability for:

- Loss or Damage to third party's physical property within New Zealand, or
- **accidental bodily injury** to **other people** within New Zealand, provided that;
- the Insureds liability arises from or is caused by their ownership of the **Buildings** or its grounds or the site; and
- the Loss or Damage, **accidental bodily injury or occurrence** happens during the **period of insurance**.

Defence costs

The **Company** will also cover defence costs incurred by the Insured with the Company's prior approval, for liability arising under the above items.

Reparation

The **Company** will cover the Insured for legal liability to pay reparation to a person who has suffered accidental loss of property or **accidental bodily injury** resulting from the Insured committing an offence during the **period of insurance** in connection with the ownership of the Building, provided that:

- The Insured or any other person entitled to cover must tell the **Company** immediately if they are charged with the offence, and
- The Company must give written approval before any offer of reparation is made.

The Company does not cover reparation for any defence costs, court costs, levies or costs awarded for any offence.

Statutory liability

The Company will cover the Insured for liability to pay any:

- court ordered fines (to the extent the Company is legally able to) or;
- court ordered reparation

imposed as a direct result of an occurrence at the Specified Situations under the following Act of Parliament:

- Resource Management Act 1991;
- Building Act 2004;
- Health and Safety at Work Act 2015; or
- any amendments or substituted legislation to those Acts;

provided that:

- the claim or allegation is first made during the period of insurance, and
- The Insured notifies the Company within 30 days of receiving notice.
- an excess of $5,000 applies to any claim under this additional policy benefit, unless otherwise noted on the schedule.

If the Insured makes a claim under this additional policy benefit, the Company:

- will be entitled, but not obligated, to take over and control the defence of the claim and may settle any claim;
- may appoint a lawyer of the Company's choosing to represent the Insured in the defence of the claim;
- may, at the Company's discretion,pay the full limit of indemnity applicable under this section of the policy, or any lesser amount for which the liability can be settled, and the Company, after the deduction of any sums already paid in connection with such claim(s) , shall not be under any further liability plus defence costs incurred.

If the Company does so, this will meet all obligations under this additional policy benefit.

The Company won't pay for any fine or reparation imposed, or defence costs:

- as a result of any deliberate or reckless breach of, or disregard for, any provisions of these Acts;
- that had resulted from a failure to comply with any notice or order issued by a statutory body;
- as a result of deliberate or reckless obstruction of any person lawfully exercising their powers under these Acts;
- beyond the first period of insurance you notified the Company.

The most the **Company** will pay under this additional policy benefit for any one **event** is $500,000.

If the Insured is covered for liability under any other insurance policy with the Company they can only claim for statutory liability under one of these policies.

What you are not covered for

The Company will not cover the Insured's legal liability:

- for exemplary or punitive damages;
- for legal costs incurred by any other party that the Insured may be ordered or agree to pay;
- assumed under contract unless a liability would have attached to the Insured in the absence of such contract;
- for Loss or Damage to the Insured's own property;
- for Loss or Damage to property in their care, custody or control.

The Company will also not cover the Insured's legal liability caused by, arising from or connected with:

- any business, trade, profession or sponsorship;
- the ownership or use of any **motor vehicle** (other than domestic ride on lawn-mowers, mobility scooter or golf carts), trailer, caravan, watercraft, aircraft or other aerial device;
- the ownership or possession of any animals other than domestic pets;
- illegal or unlawful activities or events;
- pollution or contamination; or
- intentional, deliberate or malicious acts or omissions by the Insured.

Arising directly or indirectly from the manufacture, supply, installation, storage, possession, handling, repair or removal or disposal of asbestos or in which the Insured has reason to suspect such materials contain asbestosfrom or in connection with asbestos.

What we will pay

The most the Company will pay for any one **event** is:

- $5,000,000 for Loss or Damage to other people's property; and
- $1,000,000 for **accidental bodily injury**.

Defence costs covered by this policy will be paid in addition to the above amounts. If the Insured should make a claim under this section of the policy the Company:

- shall be entitled, but not obliged, to take over and control the defence and may settle any claim;
- may appoint a lawyer of the Company's choice to represent the Insured in the defence of the claim;

- may pay the full amount under this section of the policy or any lesser amount for which the liability can be settled, plus defence costs incurred, however the Company will not pay the Insured's defence costs and expenses in relation to an offence or where their legal liability is to pay reparation.

If the Company does so then this will meet all obligations under this section of the policy.

If the Insured is covered for legal liability and/or reparation under any other insurance policy with the Company they can only claim for statutory liability under one of these policies.

LOSS OF RENT

In consideration of the Insured named in the Schedule having paid or promised to pay the required premium, the Company named in the Schedule agrees (subject to the conditions expressed in or endorsed on this Policy) that if, during the Period of Insurance, any Building or Landlords Contents owned or used by the Insured suffers:

- Physical loss or physical damage, unintended and unforeseen by the Insured as covered by this Material Damage Policy, or would be but for the application of an excess or deductible;

(all such loss or damage being hereinafter termed "Damage") and the Business carried on by the Insured at the Premises is consequently interrupted or interfered with, then the Company will pay to the Insured in respect of each Item in the Schedule the amount of loss resulting from such interruption or interference in accordance with the provisions of this Policy.

GROSS RENTALS AND MANAGEMENT FEES RECEIVABLE

The insurance under this Item covers (a) **Loss of Gross Rentals and Management Fees Receivable** and (b) **Increase in Cost of Working**. The amount payable hereunder shall be:

(a) In Respect of Loss of Gross Rentals and Management Fees Receivable: the amount by which the Gross Rentals and Management Fees Receivable during the Indemnity Period shall, in consequence of the Damage, fall short of the Standard Gross Rentals and Standard Management Fees Receivable;

(b) In Respect of Increase in Cost Of Working: the additional expenditure necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the Loss of Gross Rentals and Management Fees Receivable which, but for that expenditure, would have taken place during the Indemnity Period in consequence of the Damage, but not exceeding the amount of the reduction in Gross Rentals and Management Fees Receivable thereby avoided;

less any sum saved during the Indemnity Period in respect of such of the charges and expenses of the Business payable out of Gross Rentals and Management Fees Receivable as may cease or be reduced in consequence of the Damage,

The most the Company pay for any one event occurring during the period of insurance is $50,000 per residential unit.

This limit is in addition to the replacement cost and natural disaster sum insured.

Definitions:

In this Memorandum:

(a) **"Indemnity Period"** means the period during which the business income is affected by the Damage, beginning with the date of the Damage and ending no later than the Maximum Indemnity Period shown in the Schedule.

(b) **"Gross Rentals"** means the money paid or payable to you by tenants for rental of the Risk Location.

(c) **"Management Fees Receivable"** means the money paid or payable to you by tenants in connection with the rental of the Risk Location, excluding rent.

(d) **"Standard Gross Rentals"** means the Gross Rentals during the 12 month period immediately before the Damage. Standard Gross Rentals may be adjusted to reflect trends or circumstances which would have affected the Business had the Damage not occurred.

(e) **"Standard Management Fees Receivable"** means the Management Fees Receivable during the 12 month period immediately before the Damage. Standard Management Fees may be adjusted to reflect trends or circumstances which would have affected the Business had the Damage not occurred.